



SANJIV BAJAJ
CMD, BAJAJ FINSERV

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“The market is large enough. .. Even [after] being present in 4,000 cities [with] assets close to ₹3 lakh crore, we still have less than 2 per cent [share in] India’s credit market”

ON THE GROUP’S NBFC BAJAJ FINANCE, AT A RECENT EVENT ORGANISED BY INDIAN MERCHANTS’ CHAMBER

of the market,” says Vikas Garg, Co-founder and CEO of fintech start-up Paytail. But JFS also has the grocery and fashion formats to capitalise on the credit boom. It will begin with consumer durables subsidised by manufacturers, OEMs, or dealers to build a database on repayments and defaults. Then, it will cross-sell other products, including secured loans, to those with a good credit history.

The merchant lending vertical will offer financing to merchants in grocery, digital fashion, and pharma—formats that don’t have access to cheap funds. The products include short-term personal loans, trade financing, loans for store upgrades, and unsecured business loans.

It is already helping merchants with payment capabilities. JFS has a good database of *kirana* stores to underwrite them for short-term working capital loans, especially during peak seasons such as festivals. JioMart offers an online shopping platform by partnering with local mom-and-pop stores.

The loans vertical for MSMEs or micro, small and medium enterprises will offer working capital financing to distributors and suppliers, who end up tapping

high-interest informal channels for small loans. A recent report from Avendus Capital highlighted that the small-ticket MSME lending sector faces a credit shortfall exceeding \$120 billion.

Ambani is also catching the passive-investing wave, which comprises index funds and exchange-traded funds (ETFs). Last month, JFS sealed a deal with the world’s biggest AMC, BlackRock, for a 50:50 joint venture in a market that has nearly four dozen players. BlackRock is a dominant player in passive investment, which involves tracking indices rather than individual stocks. Its ETFs are very popular globally. Jio-BlackRock, with a \$150-million investment, hopes to stand out. In less than a decade, the AUM of passive funds accounts for a fifth of the market. Jio’s strategy of using the group’s ecosystem and digital-first approach could help reduce distribution expenses, which it could pass on to small unit holders. BlackRock is no stranger to the Indian market; it cut its teeth with a joint venture in DSP Mutual Fund before parting ways about five years ago.

The AMC business has good margins. For instance, HDFC AMC reported a 26 per cent return on equity, an income of ₹2,482 crore

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RELIANCE’S ECOSYSTEM OF CUSTOMERS CREATES A NEXUS OF OPPORTUNITIES TO CROSS-SELL VARIOUS SERVICES

780
MILLION
Footfall
across all its
stores

3
MILLION
Merchant
partnerships

250,000
Artisans, weavers and
micro entrepreneurs
associated with its
companies

FIGURES AS OF MARCH 31, 2023; SOURCE RIL PRESENTATIONS